

# FLIPKART'S REFURBISHED TECH MANTRA

AS INDIA'S REFURBISHED GADGET MARKET BOOMS, FLIPKART'S **ASHUTOSH SINGH CHANDEL** DELVES INTO THE EVOLVING CONSUMER PERCEPTIONS, DRIVING FORCES, AND THE FUTURE OF RE-COMMERCE IN A TECH-SAVVY NATION.

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## **ASHUTOSH SINGH CHANDEL**

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### **Q How has the perception of refurbished gadgets evolved in India?**

The perception of refurbished gadgets in India has undergone a significant transformation in recent years, evolving from scepticism to acceptance and preference. This shift is primarily driven by a confluence of factors. Increasing disposable incomes coupled with the desire for premium technology has led to a surge in demand for smartphones, gadgets and appliances. However, the high costs of these devices often pose a barrier to entry for a large segment of the population. Especially in the smartphone segment, frequent phone upgrades by consumers, driven by OEMs' rapid release cycles, are fueling India's booming second hand smartphone market. This trend is particularly evident following festive sales periods when new phone purchases surge, leading to increased supply of used devices.

Manufacturing and mining account for 85-95% of a phone's annual carbon footprint. According to the International Journal of Life Cycle Assessment (2021), this footprint can be brought down to 55% by refurbishing, as compared to buying and using a smartphone for 2.5

years. Refurbished gadgets offer an alternative by providing high-quality devices at significantly affordable price points.

Furthermore, the growing environmental consciousness among Indian consumers has played a pivotal role in driving the demand for refurbished products.

### **Q What are the key consumer segments of the refurbished gadgets market?**

**A** The refurbished gadgets market in India is propelled by two primary consumer segments, budget-conscious consumers that aspire for premium devices and environmentally conscious individuals. The former segment seeks affordable yet quality devices, primarily in Tier II and Tier III cities. In contrast, environmentally conscious consumers, predominantly in urban areas, are driven by sustainability concerns. While both segments contribute to market growth, their motivations and purchasing behaviours differ significantly. As the market matures, we are also witnessing a convergence of these segments. Increasing environmental awareness and growing

disposable incomes is leading to a larger consumer base that values both affordability and sustainability.

### **Q How does the refurbished gadgets market in India compare to other global markets?**

**A** India's refurbished gadgets market is experiencing exponential growth compared to global markets, primarily driven by a burgeoning young and environmentally conscious population, increasing disposable incomes, and a rising preference for affordable yet quality products. For instance, in 2021, Latin America and India registered the highest growth rates of 29% and 28%, respectively, in refurbished smartphones. Moreover, India leads the global refurbished smartphone market with a 19% year-on-year growth reported in 2022. The trend towards sustainability and circular economy is driving the demand for refurbished products globally. In India, this trend is picking up momentum, with expectations of 2X growth by 2025.